

Errata: Microeconometrics: Methods and Applications - A. Colin Cameron, Pravin K. Trivedi (2005)

Original document (7 th January, 2008): cameron.econ.ucdavis.edu/mmabook/mmacorrections.html	
This document (5 th June, 2026): github.com/zekiakyol/compact-erratas	
If you have the 1st printing of the book, you should consider all entries.	
If you have the 2nd reprinting of the book, you should consider only entries marked with ②.	
📍 Location	✍ Correction
Page xiii, Table of Contents, Section 23.3	Page number 762 should be 792.
Page 9, Line 11	“If d is found” should be “If D is found”.
Page 56, Equation (3.7), left-hand side ②	y_{i1}^1 should be y_{i1}^0 .
Page 69, Last line	“ $\ln y$ ” should be “ $\ln w$ ”.
Page 73, Line before Proposition 4.1	Delete “and uncorrelated”.
Page 85, Last line	“censored models” should be “censored models (see Section 16.9.2)”.
Page 89, Line 3 from bottom	“ $q = 0.1, 0.2, \dots, 0.9$ and the regression line” should be “ $q = 0.1, 0.5, \text{ and } 0.9$ ”.
Page 101, Equation (4.52)	Ending term $(Z'X)^{-1}$ should be $(X'Z)^{-1}$.
Page 101, Last line	“see Section 6.5.6” should be “see Section 6.5.4”.
Page 103, End of first paragraph	“see Section 6.54.5” should be “see Section 6.5.4”.
Page 113, Exercise 4-2, part (b)	“Hence directly obtain the variance of $\bar{y}$ ” should be “Hence directly obtain a consistent estimate of the variance of $\hat{\mu}$ ”.
Page 114, Exercise 4-4, parts (c)–(e)	Several typos; see replacement material.
Page 114, Exercise 4-7, parts (d)–(f)	These parts should be replaced; see replacement material.
Page 164, Exercise 5-1	The exercise is correct, but the function is close to linear. A better example is $E[y x] = \exp(0 + 0.04x)/[1 + \exp(0 + 0.04x)]$.
Page 165, Exercise 5-7, part (c)	Delete “NLS”; this is an ML estimation.
Page 168, 2nd line after 1st displayed equation	$E[h(x)(y - x'\beta)] = 0$ should be $E[h(x)(y - g(x, \beta))] = 0$.
Page 173, Line 6	G_1 should be G_0 in Proposition 6.1.
Page 178, Last displayed equation	The first and third matrices are incorrect and should be analogous to $\hat{G}$ in (6.21).
Page 181, Equation (6.26) ②	The OIR statistic should be multiplied by N .
Page 185, Equation (6.40)	The final N should not be boldface.
Page 189, Theil’s interpretation ②	Replace “Suppose that in the reduced form model” with “Suppose that in a first-stage model”.
Page 189, First line after (6.49)	“ Π is a $r \times K$ matrix” should be “ Π is a $K \times r$ matrix”.
Page 190, Basman’s interpretation	Replace “OLS reduced form prediction” with “OLS first-stage predictions”.
Page 193, First line	“because to regressors” should be “because the regressors”.
Page 194, Line before (6.58)	Add “defined by” at the end of the line.
Page 196, Line 1 of nonlinear 2SLS section ②	N^{-1} should not be boldface.
Page 197, Line 2 of last paragraph ②	“PI” should be “II” in both occurrences.
Page 197, Last displayed equation	The equation is correct, but readability improves if z_i in the last term is moved to the beginning of the summation.
Page 198, Line 9 from bottom	The “ $\neq$ ” sign should be “ $=$ ”.
Page 198, Line 8 from bottom	“ $= 0$ ” should be “ $\neq 0$ ”.
Page 199, Table 6.4, NL2SLS column	0.960, 0.046, 0.85 should be 0.969, 0.041, 0.84.
Page 199, Line 3 from bottom	Delete “that” at the start of the line.
Page 202, Line 7	Section 16.2.5 should be Section 10.2.5.
Page 206, Middle reference	(6.26) should be (6.76).
Page 213, Line 7 from bottom	G^2 should be $G(G - 1)$ to allow for normalization restrictions on B .
Page 214, Line 13	The superscript at the end of the line should be lowercase g .
Page 214, Displayed equation for 3SLS estimator	The matrix Ω should be $\hat{\Omega}$. The same correction applies two lines below and four lines down. $\hat{\Sigma}$ should also be defined before $\hat{\Omega}$.
Page 220, Exercise 6-1, part (a)	$y - \exp(x'\beta)$ should be $(y - \exp(x'\beta))^2$.
Page 220, Exercise 6-1, part (d)	Add $E[(y - \exp(x'\beta))^3] = 0$.
Page 237, Line 4	Section 3.5 should be Section 7.3.5.
Page 248, Top definition of W	Add a transpose after the first $\hat{h}$.
Page 248, 3 lines above (7.46)	Section 7.7.4 should be Section 7.6.4.
Page 254, Line 11 from bottom	Delete “in generating y ”.

Page 255, Sections 7.8.1–7.8.3		Sample size $N = 30$ should be $N = 40$.
Page 255, Line 5 from bottom		$z = (0.817 - 1)/0.376$ should evaluate to -0.487 .
Page 256, Section 7.8.3 percentiles		-2.62 and 1.83 should be -1.89 and 1.80 .
Page 273, Line 6 and 7 from bottom	②	The upper and lower bounds for H should not be multiplied by N .
Page 277, OIR statistic in (8.39)	②	The statistic should be divided by N .
Page 296, 3 lines from bottom		within 0.21 should be within 0.545 .
Page 300, 2nd paragraph of Section 9.3.4		Replace the description based on generated data with “using the log hourly wage data of Figure 9.1”.
Page 310, Equation (9.20)		$-b(x_0)$ should be $+b(x_0)$.
Page 311, first line		“pedagogical reasons” should be “for pedagogical reasons”.
Page 335, Exercise 9-4(a)		Delete “density” so the sentence reads “Obtain the kernel regression estimate for ...”.
Page 341, first line of Section 10.3		“For obtaining” should be “The leading method for maximizing”.
Page 343, 3 lines after (10.7)		Replace “which” with “where”.
Page 352, Bibliographic Notes 5.3		10.3 should be 10.3 .
Page 362, 3rd paragraph		Change three occurrences of σ to $\hat{\sigma}$.
Page 364, Equation (11.6)		Change the first minus sign to $+$, since $t^*[1-\alpha/2]$ is usually negative.
Page 370, third line above (11.13)		$i = -\sqrt{-1}$ should be $i = \sqrt{-1}$.
Page 373, Line 15 from bottom		“Subsampling bootstraps are useful” should be “Subsampling is useful”.
Page 380, 13 and 14 lines from bottom		Use $(N_h - 1)$ rather than $(N_h - 1)$; only one set of parentheses is needed.
Page 393, Line 9	②	5^{20} or 95 trillion should be 20^5 or 3 million .
Page 398, second last line of Section 12.4		Add an extra parenthesis after θ in two places.
Page 410, Line 1		“quasi-random sequences” should be “pseudo-random sequences”.
Page 414, Figure 12.3	②	Vertical axis label should be $f(x)$ and $kg(x)$, and the legend should use $kg(x)$ rather than $g(x)$.
Page 414, four lines down		Delete “, $x=r$ ”.
Page 453, three lines from bottom		100,000 should be 10,000 .
Page 457, Table 13.4 and following line		The evidence is against H_2 , not against H_1 .
Page 469, Line 2	②	“Differentiating (14.4)” should be “Differentiating (14.5)”.
Page 474, fourth last paragraph		Replace “specified” with “classified” in three places.
Page 488, Exercise 14-2, second line		Remove the x from the definition of $\Lambda(z)$.
Page 493, first two lines		Should read: “in the probability of fishing from a beach, and an increase of 0.119, 0.080, and 0.068, respectively, in the probability of fishing from a pier, a private boat, and a charter boat.”
Page 495, Last displayed equation’s denominator ②		Replace subscript l with subscript k , giving d_{ik} and I_{ik} .
Page 501, Equation (15.16)	②	The right-hand side should contain bold 0 .
Page 501, Equation (15.17) and 2 lines above		Add a minus sign before the expected Hessian.
Page 515, Lines 4-5 from bottom		$c = 2$ or $c = 3$ should be $C = 2$ or $C = 3$.
Page 524, derivation of $d^2 \ln L/dbb'$		Add a minus sign in the last two equalities.
Page 526, third last equation		Delete the final closing parenthesis.
Page 507, Item 4 in bullet list	②	The summation should use superscript s rather than superscript t .
Page 508, Equation (15.31)		Possible error; details need to be checked.
Page 535, last term in displayed equation	②	$(1 - d_i) \ln[\sum_i \dots]$ should be $(1 - d_i) \ln[1 - \sum_i \dots]$.
Page 540, Figure 16.2 and last paragraph		Use the Mills ratio definition $E[z z > c] = \phi(c)/\Phi(c)$ to be consistent with the discussion on p. 541.
Page 541, line after (16.23)		“see Exercise 16-1” should be “see Section 16.10.1”.
Page 541, Line 2 of (16.24)	②	$[w + \lambda(d_w)]^2$ should be $w[+\lambda(d_w)]^2$.
Page 550, second line of (16.39)		The last term should be $E[y_2^* - k_y 1^* > 0]$.
Page 559, Last line of displayed equation (a)		The final term should be $\ln p_j$, not $\ln p_k$.
Page 560, first displayed equation		The last term should be $\ln \hat{p}_j$, not $\ln \hat{p}_k$.
Page 570, Exercise 16-1, part (b)		“all 2,000 observations” should be “all 200 observations”.
Page 597, Line 1		Add an extra closing parenthesis at the end of the expression.
Page 598, table heading		Change Duration to Time .
Page 599, table heading		Change Duration to Time .
Page 605, Line 5		Replace “... RRU and DRU” with “... RRU and DRU and 34 other regressors whose coefficients are not reported in Tables 17.7 and 17.8”.

Page 644, 1st displayed equation after (19.6)	Use Δt_j in the numerator instead of Δt .
Page 672, Table 20.4	LC should have mean 2.384 and sd 2.042; IDP mean 0.260 and sd 0.439; FMDE mean 4.030 and sd 3.471.
Page 699, Equation (21.2)	Add an error term u_i at the end of the right-hand side.
Page 710	② Additional correction listed in the errata; details continue beyond the provided image.
Page 711, Line 7 from bottom	standard error = 0.09 should be standard error = 0.009.
Page 725, Table 21.7	② β should not be boldface.
Page 733, 10 lines from bottom	Delete the term $+\bar{y}$ from the within-group variation definition.
Page 734, Line 3 of second paragraph	② β should be boldface.
Page 734, Equation (21.45)	② δ should be boldface.
Page 735, Formula (21.48)	This formula should only be used when there are no time-invariant regressors. If such regressors are present, an adjustment is needed, such as using pooled OLS rather than the within estimator.
Page 736, first displayed equation	Remove the transpose operator in all three places.
Page 736, Equation (21.52)	Remove the transpose operator in all three places, and replace bold $\bar{W}$ with bold e times bold w_i bar transpose.
Page 745, Equation (22.5)	Remove the transpose on W_N .
Page 749, Line 1	Z_i is $\text{Tr} \times T$ should be Z_i is $T \times \text{Tr}$.
Page 760, first displayed equation	The equation is valid in general, but the justification using Section 6.3.7 additionally requires $E[X_i Z_i]$ to be a linear combination of Z_i .
Page 763, Equation (22.32)	$t = 1, \dots, T$ should be $t = 2, \dots, T$.
Page 764, Line 3 from bottom	Initial value y_{i0} should be y_{i1} .
Page 765, Equation (22.34)	$t = 2, \dots, T$ should be $t = 3, \dots, T$.
Page 766, last paragraph of Section 22.5.3	Assumes the initial value y_{i0} is observed, whereas elsewhere the section assumes y_{i1} is the initial value.
Page 785, Equation (23.19)	The conditioning variable and argument of $g(\cdot)$ should be α_i .
Page 793, Figure 23.1	Axes labels are reversed. The vertical axis should be $\log(\text{patents})$ and the horizontal axis $\log(\text{R\&D})$.
Page 795, Equation (23.35)	The left-hand side should also condition on β .
Page 796, Equations (23.37) and (23.38)	The left-hand side should condition on capital X_i rather than x_i . The ordering of conditioning variables is also inconsistent between pages 795 and 796.
Page 796, 2 lines above (23.37)	Section 23.4.5 should be Section 23.4.6.
Page 796, second last paragraph	Begin with “First, it is not meaningful to condition on” rather than “not possible”.
Page 797, line above (23.40)	Section 23.4.5 should be Section 23.4.6.
Page 799, Equation (23.43)	Drop the second equality and replace $\Pr[y]$ with $\Pr[y, \sum_t y_t = c]$ in the next equality.
Page 799, middle of page	Delete the lone “+” in the denominator.
Page 803, Equation (23.49)	Delete the last minus sign in the expression.
Page 839, 2nd equality for Σ_C^{-1}	The final inverse should be removed.
Page 839, formula for $[I + aee']^{1/2}$	The expression should end with ee' rather than Mee' .
Page 843, 5 lines from bottom	(23.34) should be (23.46).
Page 870, Equation (25.34)	Change the last plus sign to a minus sign, and in the last term denominator replace $1 - \Phi(0)$ with $\Phi(0)$.
Page 870, Equation (25.35)	The last term should be $(\sigma_{1e} - \sigma_{0e})$ rather than $(\sigma_{0e} - \sigma_{1e})$.
Page 878, 3 lines from bottom	“the fixed effect phi-ij” should be “the fixed effect alpha”.
Page 891, Equation (25.77)	② The coefficient of D_i is just γ , not $\gamma x\alpha$.
Page 895, Table 25.6 footnote	Drop RE74*RE75 from the list of regressors.
Pages 895–896, SEs in Tables 25.6 and 25.7	② Bootstrap standard errors are invalid for matching estimators of ATET. Use the variance formulas of Abadie and Imbens (2006) instead.
Page 904, 2 lines after Equation (26.9)	(26.8) should be (26.8)”; essentially the same as (26.8).
Page 933, step 4	The variance should be σ^2 times the identity matrix, not just σ^2 .
Page 937, Table 27.4 header	25% missing should be 10% missing.
Page 946, first line after Equation (A.3)	“Amemiya (1985, p.89)” should be “Amemiya (1985, p.99)”.
Page 947, Equation (A.6)	Add $= 1$ so that $\Pr[\lim b_N = b] = 1$.
Page 954, 3 lines from end of Section A.6.4	$\sqrt{N}(X_{\text{bar},N} - \mu)$ converges in distribution to $N[0, \sigma^2]$.

Page 966 , references	Add Brown, B.W., and W.K. Newey (2002), “Generalized Method of Moments, Efficient Bootstrapping, and Improved Inference,” <i>Journal of Business and Economic Statistics</i> , 20, 507–517.
Page 970 , references	Add Cragg, J.G. (1983), “More Efficient Estimation in the Presence of Heteroscedasticity of Unknown Form,” <i>Econometrica</i> , 51, 751–763.
Page 970 , references	Add Davidson, R., and J.G. MacKinnon (2000), “Bootstrap tests: How many bootstraps?” <i>Econometric Reviews</i> , 19, 55–68.
Page 978 , references	Add Heckman and Vytlačil (2002).
Page 993 , references	Add Terence Smith, A.A. (1993), “Estimating Nonlinear Time-Series Models Using Simulated Vector Autoregressions,” <i>Journal of Applied Econometrics</i> , 8, S63–S84.
Page 999 , references	Add p.341 to Dorsey, R.E. entry.
Page 1002 , references	Add p.341 to Mayer, W.J. entry.